Investing in property

There are various ways to make money from property, but each involves a lot of research and management and, potentially, risk.

How it works

Unlike many other types of investment, such as buying shares or bonds, the investor does not need to come up with the full sum to buy property, just enough for a deposit. Most lenders require, on average, 20 percent of the value and a loan (mortgage) can be obtained to pay for the balance.

The aim of investing in property to build wealth is to buy when the value is low and sell for a profit, then use any profit to finance additional property purchases. There are several ways to do this. A person can buy and remodel a house then sell it for a profit, or buy in an inexpensive area and wait for the area to rise in value. Buying in a depressed market can reap rewards when conditions improve. Buying to rent a property can generate an income that pays the mortgage and excess can be used for a deposit for another property when prices have risen.

30%

the value lost on house prices in the US from 2004 to 2009

NEED TO KNOW

- **Market value** The amount that a buyer would be willing to pay for a property (or other asset) at any given time.
- **Below market value (BMV)** The pricing of a property that is much lower than the average price of other similar type properties in the area (i.e. those priced at market value).
- **Buy-to-rent (BTR) mortgage** A mortgage for investors who are buying a property with a plan to rent it out for a period of time.
- **Buy-to-sell mortgage** A mortgage designed for investors who are buying property that will be sold shortly afterward.
- **Capitalization rate** The rate of potential return on an investment property; the higher the better.
- **Operating expenses** The cost of the day-to-day administration of a property (or business).
- **Capital gains** The increase in value of a property (or other asset) from its purchase price; this can be short-term (under one year) or long-term.

Monitor market prices

Property prices can sometimes shift dramatically up or down from year to year. Investors can profit from significant hikes by selling at the optimum point.

How to invest

Making money from property is a game of ups and downs that can entail short-term setbacks as well as gains on the road to the finish line. Success in the long run relies on the investor's strategy. There are several factors to consider: careful financial planning; good timing (to take advantage of rises and falls in the property market); thorough research of locations; appraisal of commercial versus residential investment options; and a clear understanding of economic indicators such as interest rates.